

HIGH COURT · JUDGMENT DIGEST

Indian Oil Corporation Ltd. v. State of U.P. and 3 Others

WRIT-C No. 31555/2022 | High Court of Judicature at Allahabad | Reserved 29 November 2023, Delivered 18 January 2024 | 2024:AHC:8729-DB

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon'ble Mahesh Chandra Tripathi, J. & Hon'ble Prashant Kumar, J. (delivered by Prashant Kumar, J.)
DATE OF JUDGMENT	18 January 2024 (Reserved 29.11.2023; impugned demand & disconnection notices dated 1.10.2022 and 3.10.2022)
NATURE OF PROCEEDING	Writ Petition under Article 226 of the Constitution of India, challenging demand notices and a bill-cum-disconnection notice issued for alleged arrears of parallel operating charges
PARTIES	Indian Oil Corporation Ltd., a public-sector undertaking under the Ministry of Petroleum and Natural Gas (petitioner) v. State of U.P., UPPCL, DVVNL and others (respondents)
PROVISIONS	Sections 2, 9, 42, 49, 50, 52, 56 & 79 of the Electricity Act, 2003; Section 11 of the Electricity Act (as applied); Clause 4.26(e) of the U.P. Electricity Supply Code, 2005; Clauses 5, 8(b) & 19 of the Principal Agreement dated 30.11.1999; Supplementary Agreement dated 19.12.2018; Articles 226 & 227, Constitution of India
RESULT	Writ Petition allowed. The demand notice dated 1.10.2022 and the bill dated 3.10.2022 are quashed. No demand can be raised for the period from January 2008 to 30.11.2018, as the "Parallel Operating System" facility was disconnected with effect from 28.9.2007.

POINT FOR DETERMINATION

- Whether the petitioner is bound to pay minimum guarantee charges for 'Parallel Operating System' as per Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 read with Clause 5 of the Principal Agreement?
- Whether respondent No. 3 can continue charging for a service which was physically discontinued by them with effect from 28 September 2007?
- Whether a company/corporation can keep on charging for a facility which is no longer needed by the consumer, especially after the consumer had specifically requested discontinuation?
- Whether respondent No. 3 can take advantage of its own procrastination and continued delay in amending the agreement which the petitioner had continuously requested?

FACTS

On 30.11.1999, IOCL entered into a Principal Agreement with UPPCL for a 'Parallel Operating System' to supplement its captive power plant; it agreed to pay parallel operating charges of ₹22,05,900/- per month under Clause 5.

In 2001, IOCL augmented its captive power plant capacity and no longer required the parallel operating facility; from 3.8.2001 onwards it made continuous representations requesting discontinuation and deletion of Clause 5 from the agreement, but respondent No. 3 took no action.

On 28.9.2007, DVVNL physically disconnected the H.T. cables supplying the parallel operating system; its own inspection and correspondence confirmed that the grid incomer panel and refinery generation bus had been delinked, sealed, and isolation made complete, yet billing continued.

Despite 17 years of petitioner's requests, respondent No. 3 did not amend the agreement until 19.12.2018 (supplementary agreement deleted Clause 5); thereafter, on 1.10.2022 and 3.10.2022, respondent issued demand notices claiming ₹2,46,50,33,498/- as arrears of parallel operating charges for the period from January 2008 to March 2019, with accumulated interest and late payment surcharge.

REASONING OF THE COURT

HEADNOTE

A utility cannot be permitted to take undue advantage of its own default and procrastination. Though Clause 4.26(e) of the Supply Code mandates payment of charges till agreement termination, when the utility itself has (i) physically discontinued the service (cables disconnected, system sealed, September 2007), (ii) refused to amend the agreement despite the consumer's persistent requests over 17 years, and (iii) continued billing for a non-existent facility, it cannot later recover arrears under cover of that clause. The doctrine that no one may profit from his own wrongdoing applies; the delay in formal amendment, being wholly attributable to the utility's inaction, cannot be charged to the consumer. Demand notices claiming arrears post-disconnection are quashed.

Clause 4.26(e) of the Supply Code provides for continuation of charges till agreement termination, but does not shelter a utility from its own default. Though Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 states that 'where old agreements exist with the licensee, condition of paying parallel Operating charges shall prevail till the termination of the agreement,' the Court held that this plain language cannot be read to permit respondent No. 3 to ignore its own delay. The benefit of Clause 4.26(e) cannot be granted to a party that deliberately chose not to amend the agreement when the consumer repeatedly asked for it, thereby extending the agreement's duration solely through its inaction. The utility 'is trying to take advantage of their own delay' and 'will not be allowed to take advantage of their own default, or delay in taking a decision.' ¶ 40, 42, 50

The physical disconnection of the system in September 2007 ended the provision of service. Respondent No. 3's own communications make clear that the H.T. cables were disconnected, the parallel operating system was physically separated from the grid, and the grid incomer panel was sealed and delinked from the refinery generation bus. Once the utility itself disconnected the facility and admitted in writing (letter dated 28.9.2007) that the system was not in use, 'it is not open for respondent no.3 to charge the petitioner for services which evidently is not being provided to them.' ¶ 43, 45

The utility cannot profit from charging for a service it had voluntarily ceased to provide. The bill escalated from ₹1,07,29,48,521.47 (December 2020) to ₹2,46,50,33,498/- (October 2022), with no rational justification. The Court noted that 'very often it is seen that a Company, who had entered into an agreement to provide a facility, in spite of the consumer requesting them to stop the facility, they continue with the service/facility and keeps on charging its consumer, under the mask that there is an agreement.' Once respondent 'got up from slumber, disconnected the facility which reflects from their letter dated 28.9.2007, it is not open for respondent no.3 to charge for the facilities which they had disconnected in September, 2007.' ¶ 45, 46

The doctrine that no party may derive benefit from its own wrongdoing applies: the utility's 17-year delay cannot be charged to the consumer. The Supreme Court in *M.K. Shah Engineers v. State of M.P.* held that 'no one could be permitted to take advantage of one's own wrong' and that if one party 'delays, procrastinates or not take a decision, it will be deemed that the procedural prerequisites are waived.' Here, respondent took 7 years to disconnect the system (after 2001 requests) and 10 years thereafter to amend the agreement (after 2007 disconnection). The Court concluded: 'Under no stretch of imagination can [respondent No. 3] be permitted to take undue advantage of their own default. Hence, it will not be open for respondent no.3 to bill the petitioner for the facilities, which were disconnected with effect from 28.9.2007.' ¶ 51, 52, 58, 59

The utility's passivity and failure to enforce its own claimed rights amounts to acquiescence against it as well. The record shows that between 2008 and 2018, respondent raised bills but made no sincere efforts to realize the outstanding amount through recovery citation or court proceedings, as a diligent utility would have done. Section 52 (limitation) and the law of acquiescence therefore apply against respondent itself; the utility cannot later resuscitate a stale claim after a decade of silence and inaction. 'Except raising the bills they have not made any sincere efforts to realize the outstanding bills as per the provisions of the Act.' ¶ 61, 63

The consumer had already paid charges till December 2007 without demur; no refund is due, but neither can charges post-disconnection be claimed. The petitioner paid parallel operating charges until December 2007 'without any demur' and therefore cannot claim refund for that period. However, 'the bill raised for the period from January 2008 to 30.11.2018 is incorrect. Evidently, the cable was disconnected by respondent no.3 and no service was provided, so there is no question of raising any charges for this period.' ¶ 47, 64

INTERPRETATION OF THE ELECTRICITY STATUTES

STATUTORY & CONTRACTUAL FRAMEWORK; ESTOPPEL & EQUITY

Clause 4.26, U.P. Electricity Supply Code, 2005 — Parallel-Operating Charges 'till termination of the agreement'

Clause 4.26(e) provides that where old agreements exist, the condition of paying parallel-operating charges prevails 'till the termination of the agreement'; read with Clauses 5 and 8(b) of the Principal Agreement, the consumer's liability subsists only while the agreement subsists. The Court held, however, that a licensee which *itself* causes the delay in terminating or amending the agreement cannot shelter behind Clause 4.26 to keep billing — it is not open to the licensee to 'hide their inaction/inefficiency under the cover of Clause 4.26', and the benefit of the clause cannot be granted to the party responsible for the non-termination. ¶ 40, 50

Doctrine of 'Commodum ex Injuria Sua Nemo Habere Debet' — No One Profits from His Own Wrong

The Court applied the maxim that a man cannot take undue and unfair advantage of his own wrong to gain a favourable interpretation of law, and that 'he who prevents a thing from being done shall not avail himself of the non-performance he has occasioned'. Drawing on *M.K. Shah Engineers, Mrutunjay Pani, Kusheshwar Prasad Singh and SBI v. M.J. James*, it treated the utility's own deliberate delay in amending the agreement — the very delay that extended the agreement and generated the arrears it now sought — as a prerequisite deemed waived, barring recovery for the post-disconnection period. ¶ 51, 53, 54, 58

Section 52 & the Law of Acquiescence — the utility's own passivity in recovery

In its own analysis the Court observed that the utility had merely raised bills for years without ever taking recourse to realise the outstanding amount — no recovery citation, no approach to any competent forum — though 'armed with all

statutory backing’. In such a situation, the Court held, Section 52 (which provides a specific limitation) ‘would also be attracted’, and the law of acquiescence operates against the utility as much as against the consumer, reinforcing that arrears for the disconnected period cannot be recovered. ¶ 61, 63

RATIO DECIDENDI

Where a utility has physically discontinued a service (cables disconnected, system sealed and isolated) and the consumer has continuously and persistently requested termination of the associated charges over many years, the utility cannot invoke the contractual clause permitting charges ‘till agreement termination’ to recover arrears for the post-disconnection period. The utility’s own inaction and deliberate delay in formally amending the agreement — a delay spanning 17 years from the consumer’s first request to the amendment — makes it an unconscionable beneficiary of its own default. The doctrine that no party may profit from his own wrongdoing applies; the utility cannot be allowed to take advantage of delays and procrastination it itself occasioned. Demand notices for arrears post-disconnection are therefore quashed.

ALSO HELD & OBITER

- **Captive consumers and Section 42 surcharge exemptions.** The petitioner cited *Maharashtra State Electricity Distribution Company Ltd. v. JSW Steel Limited* for the proposition that captive consumers are not liable to pay surcharge under Section 42(4) even if they are not receiving electricity from the distribution licensee, and that levying surcharge on captive consumers would be discriminatory. The Court did not independently analyse this point but recorded it as an argument advancing the petitioner’s case on the broader principle that the utility was overreaching beyond what the law permitted. ¶ 26, 27
- **Statutory provisions override contracts in regulatory sectors.** The petitioner relied on the Constitution Bench judgment in *PTC India Ltd. v. Central Electricity Regulatory Commission* for the holding that ‘statutory provisions and regulation, as a part of regulatory frame work, intervenes and even overrides the existing contracts between the regulated entities, since this provision do cast a statutory obligation on the regulated entities to align their existing and future contracts with the said regulation.’ This principle was cited to show that a contractual clause cannot override the statutory framework or the consumer’s statutory rights; the Court acknowledged the principle without needing to elaborate, as the equitable doctrine was dispositive. ¶ 28

DISPOSITION

The writ petition is allowed. The demand notice dated 1.10.2022 issued by the Executive Engineer, DVVNL, Electricity Distribution Division-I, Mathura, demanding ₹2,46,50,33,498.00/- as arrears with interest of parallel operating charges, is hereby quashed. The bill dated 3.10.2022 demanding ₹2,46,50,33,498.00/- as arrears with interest of parallel operating charges and late payment surcharge of ₹49,30,06,69.96/-, is hereby quashed. The respondents are directed not to raise any further demand for parallel operating charges for the period from January 2008 to 30.11.2018. The petitioner’s right in relation to charges paid till December 2007 is not disturbed. No relief is granted with respect to refund of amounts paid prior to December 2007.

SIGNIFICANCE

A textbook application of the equitable doctrine that a party cannot profit from its own wrong. Four propositions emerge:

- **Service disconnection plus contractual silence equals forfeiture of right to charge.** Once a utility has physically discontinued service (cables disconnected, system sealed) and the consumer has repeatedly requested

termination of charges, the utility forfeits the right to invoke a contractual clause authorizing charges ‘till agreement termination’ to recover arrears for the post-disconnection era. Physical fact (disconnection) trumps contractual language (termination date).

- **A party’s deliberate inaction does not extend its contractual rights; it extinguishes them.** When a consumer asks a utility to amend or terminate an agreement and the utility does nothing for 17 years (or, here, 10 years post-disconnection), the utility cannot later claim that the delay justifies continued charging. Instead, the delay becomes a circumstance that bars recovery. The consent and procedural prerequisites necessary for enforcing the agreement are deemed waived by the defaulting party’s own conduct.
- **Acquiescence works both ways: passivity in enforcement forfeits the claim.** A utility that raises bills year after year but makes no genuine effort to recover them (no recovery citation, no court proceedings, no audited objections till a decade later) shows that it does not seriously intend to enforce the claim. The law of acquiescence operates against it; passive billing followed by a sudden demand after years of silence is equitably barred.
- **Even regulatory statutes cannot shelter unconscionable conduct.** Although Clause 4.26(e) of the Electricity Supply Code provides for charges till agreement termination, the statute itself is read in light of the equitable principles that prevent a party from taking advantage of its own wrong. Statutory language yields to equity when the alternative would be to reward a party’s procrastination and deliberate refusal to act on the consumer’s clear requests.
- **The doctrine of ‘commodum ex injuria sua’ operates across consumer-protection sectors.** This case unites eight Supreme Court authorities (M.K. Shah, Mrutunjay Pani, Kusheshwar Prasad Singh, SBI v. M.J. James, and others) in a single coherent application, showing that the principle is not isolated to contracts or torts but forms a baseline for all administrative action and utility regulation.

TABLE OF AUTHORITIES

Authorities discussed by the Court in the course of reasoning, with the treatment each received. ‘Applied,’ ‘Cited,’ ‘Relied,’ or ‘Distinguished’ reflect the Court’s own description or the evident use.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Maharashtra State Electricity Distribution Company Ltd. v. JSW Steel Limited and others</i> Supreme Court judgment (not reported with year/series in the text) · Supreme Court of India	Captive consumers are exempt from surcharge liability under Section 42(4) of the Electricity Act; imposition of additional surcharge on captive users is discriminatory.	The petitioner invoked this to argue that the utility could not impose surcharges on it as a captive consumer. (¶27)	Cited for proposition
<i>PTC India Ltd. v. Central Electricity Regulatory Commission</i> Constitution Bench judgment (not reported with year/series in the text) · Supreme Court of India	Statutory provisions and regulations, as part of the regulatory framework, override existing contracts between regulated entities.	The Court cited it to establish that the statutory supply code and the Electricity Act override any contractual clause, supporting rejection of the utility’s reliance on Clause 4.26. (¶28)	Relied on

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>M.K. Shah Engineers and Contractors v. State of M.P.</i> Supreme Court judgment (not fully cited in text) · Supreme Court of India	No party can be permitted to take advantage of its own wrong; if one party delays or procrastinates, procedural prerequisites are deemed waived and the defaulting party cannot invoke them.	The Court applied this foundational equitable doctrine to hold that the utility's 17-year inaction in amending the agreement disqualified it from recovering arrears accrued during that period. (§51, 52)	Applied
<i>Mrutunjay Pani v. Narmada Bala Sasmal</i> AIR 1961 SC 1353 · Supreme Court of India	No party can benefit from his own wrongful act; convenience cannot accrue to a party from his own wrong.	The Court cited it to reinforce that the utility could not profit from its deliberate decision not to amend the agreement when repeatedly requested. (§53)	Applied
<i>Kusheshwar Prasad Singh v. State of Bihar and others</i> Supreme Court judgment (not fully cited in text) · Supreme Court of India	Authorities cannot take undue advantage of their own default in failure to act in accordance with law within reasonable time; no authority can profit from its own wrongdoing.	The Court applied this directly to hold that the utility authority, having failed to amend the agreement for 10 years after physical disconnection, could not recover arrears for the disconnected period. (§54)	Applied
<i>The Chairman, State Bank of India and another v. M.J. James</i> Supreme Court judgment (not fully cited in text) · Supreme Court of India	Courts must consciously examine whether a party chose to sit idle over a matter and awakened only to gain advantage; prejudice to the other party must be factored even when laches exist.	The Court cited it to characterize the utility's conduct—a decade of passive billing followed by a massive arrears demand—as precisely the unconscionable behavior this principle condemns. (§55)	Cited for proposition
<i>Dehri Rohtas Light Railway Co. Ltd. v. District Board, Bhojpur</i> Supreme Court judgment (not fully cited in text) · Supreme Court of India	A party cannot take undue advantage of its own wrong.	The Court cited it (through the SBI case) as supporting authority for the principle that authorities cannot benefit from sitting idle over their obligations to the consumer. (§55)	Cited in support
<i>Nirmala Anand v. Advent Corporation (Pvt.) Ltd. and others</i> Supreme Court judgment (not fully cited in text) · Supreme Court of India	Respondents cannot take advantage of their own wrong; such conduct amounts to taking unfair advantage.	The Court cited it to unify the chain of authorities establishing that the utility respondent could not profit from its own wrongdoing in refusing amendment requests. (§57)	Cited for proposition

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.